Unique idea

For seasoned investors and those new to investing, hybrid funds offer an investment strategy that suits their needs. Each hybrid fund category is unique, be it the allocation to different asset classes it follows or the way it is managed – dynamically or with a fixed structure. As a result, each type of hybrid fund suits specific investor needs based on goals and investment time frame.

Conservative hybrid: These funds invest 10% to 25% in equity and equity-related instruments and the rest, 75% to 90%, in debt instruments only. This way, this category maintains a conservative portfolio which focuses on investing in debt instruments. This category aims for lower volatility and suits investors such as retirees and risk-averse investors.

Balanced Hybrid Fund: These funds aim to maintain a balance by investing between 40% and 60% in both equity and debt instruments only. In this manner, they aim to achieve optimal returns with moderate risk. These funds could suit moderate risk-takers looking to benefit from the long-term upside of an equal equity-and-debt allocation.

Aggressive Hybrid Fund: These funds maintain a 65% to 80% allocation to equity and 20–35% to debt. The equity component contributes to growth potential, while debt helps moderate fluctuations. These funds tend to move closer to equity fund behaviour during strong market phases. This fund could suit investors seeking equity-like returns who understand the potential downside and risks of investing in it.

Balanced Advantage Fund/Dynamic Asset Allocation Fund: These funds adjust the portfolio allocation to equity and debt based on the changing market conditions. Fund managers allocate and rebalance assets frequently to respond to current market risks and take advantage of the shift to generate returns that exceed the indicated benchmark. The return potential of these funds depends on the fund manager's ability to adapt to changing market conditions. These could suit many investors, as they follow a shifting asset allocation, especially new investors who have not yet experienced equity investing.

Multi-Asset Allocation Fund: This type of fund invests in at least three different asset classes, such as equity, debt, gold, silver, commodity ETFs, ETCDs and other permissible securities. The fund must allocate at least 10% to each asset class at all times, ensuring diversified exposure and balanced risk. This structure promotes diversification and avoids overconcentration in any single market, making it distinct from other hybrid fund categories. It suits low-risk takers and investors seeking diversification in gold, silver, commodity ETFs and ETCDs alongside equities and debt.

Arbitrage Fund: These funds follow an arbitrage strategy with a minimum 65% allocation to equities. Further, investments in debt instruments are limited to government securities with maturity less than a year. This strategy is based on the principle that markets are not entirely efficient, creating price differences across markets. The strategy is implemented by investing the same quantity of equity assets in two different markets, cash and derivatives, simultaneously and profiting from the price differential. These may suit investors seeking slightly higher returns than liquid funds with low risk.

Equity Savings Fund: These hybrid funds invest across equity, arbitrage, and debt instruments. Their structure aims to balance growth potential, stability, and lower volatility compared to equity funds. However, these investments carry higher risk than liquid funds, making them suitable for investors with experience of risk/return potential of equity-oriented funds. If these funds maintain the required equity exposure, they may qualify for taxation applicable to equity-oriented funds, which can result in a different post-tax return compared to debt-oriented funds.

ROLE IN AN INVESTOR'S PORTFOLIO

Convenience: A single investment provides exposure to multiple asset classes.

Simplified Asset Allocation: Automates the balance between risk-seeking growth and risk-averse stability.

Professional Management: Like all mutual funds, these are also managed by experienced professionals who actively monitor market conditions and manage portfolio allocation in line with the scheme's strategy.

Built-in Diversification: Money is spread across different asset types through a single fund, as defined by the scheme's description.

Risk Mitigation: Cushions portfolio drops when one asset class underperforms while another remains stable.

Choice of funds: Investors can choose from a conservative income option to an aggressive growth option or opt for a fund with investments in different asset classes.

The hybrid fund category offers a lot to investors who do not want to make asset allocation decisions. At the same time, these funds offer the flexibility to invest across market capitalisation in the equity asset class. Each fund has a different investment approach within the category, so explore and evaluate it before investing. Similarly, investors should check the fund's riskometer to see whether it fits their risk profile, investment time horizon, and goals.

An Investor Education and Awareness Initiative by SBI Mutual Fund.

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Mutual Fund investments are subject to market risks, read all scheme-related documents carefully.